

INDIAN ECONOMY

LEVEL
II



LECTURES

THE JOURNEY OF BANKING
SECTOR IN INDIA SINCE 1969

MODULE - 24



SEE THE FINANCIAL SECTOR SCENARIO IN 1951!



- 1 Indian rural financial system at the time of independence was marked by the domination of **landlords, traders and moneylenders.**

- 2 In 1951, if a rural household had an outstanding debt of Rs. 100, about Rs. 93 came from **non-institutional sources.**

- 3 From the **1950s**, there were sporadic efforts to expand the reach of the **institutional sector**, particularly in the **rural areas.**

- 4 Despite these measures, predominantly **private banking system failed to meet the credit needs** of the **rural areas.**

MULTI-PRONGED STRATEGY SINCE 1969 TOWARDS FINANCIAL INCLUSION



*Imperial Bank of India was
nationalised in 1955 to become SBI.*

- To give thrust to agriculture and Small Scale Industries sector.
- For the economic development of the Nation as a whole.
- To reduce the private monopolies in the banking system.
- For smooth supply of credit to the social sectors.
- For expanding the bank branches in unbanked rural areas.
- To bridge the urban-rural imbalance and regional imbalances.
- To develop the banking habits, especially in rural areas.

MULTI-PRONGED STRATEGY SINCE 1969 TOWARDS FINANCIAL INCLUSION

1

EXPANSION OF RURAL BRANCHES

- After nationalisation in 1969, banks were told that for every branch they opened in a metropolitan or port area, four new branches had to be opened in **unbanked rural areas**.
- As a result, the number of rural bank branches increased from **1,833 (in 1969)** to **35,206 (in 1991)**.



2

LEAD BANK SCHEME

- ✓ “**National Credit Council**” Study Group headed by **Prof. D.R. Gadgil**, first recommended “**Area**” approach.
- ✓ The **Committee of Bankers (Nariman Committee)** appointed by RBI accepted the ‘Area’ approach and gave the name “**Lead Bank Scheme**”.
- ✓ Each district was assigned to one bank, where they acted as “**pace-setters**” in providing integrated banking facilities.
- ✓ In 1969 itself, **380 districts** in the country were identified with **Lead Bank Scheme**, later on extended to all the rural districts of the country and in **2013**, it was **extended** to **urban areas**.

MULTI-PRONGED STRATEGY SINCE 1969 TOWARDS FINANCIAL INCLUSION



3

DIFFERENTIAL RATE OF INTEREST (DRI) LOANS

- It was launched in 1972.
- All the Scheduled Commercial Banks (except RRBs) have to lend 1% of the total advances of the previous year to the “poorest among the poor”.
- The interest rate will be 4% per annum.
- No collateral security. Only hypothecation of assets created should be with the banks.

MULTI-PRONGED STRATEGY SINCE 1969 TOWARDS FINANCIAL INCLUSION



WHAT IS PRIORITY SECTOR LENDING?

- It refers to the sectors of the economy which may not get timely and adequate credit in the absence of this special dispensation.
- It comprises agriculture, MSMEs, social infrastructure, renewable energy, housing, students, weaker sections etc.

4 PRIORITY SECTOR LENDING

- Description of the priority sectors first formalized in 1972.
- Initially, agriculture and Small Scale Industries were considered.
- Based on Dr. K.S. Krishnaswamy Committee recommendations, banks were advised to achieve the target of 40% for priority sector lending by 1985.



MULTI-PRONGED STRATEGY SINCE 1969 TOWARDS FINANCIAL INCLUSION

5

REGIONAL RURAL BANKS (RRBs)

Regional Rural Banks were established in 1975 to enlarge the supply of institutional credit to the rural areas.



6

NABARD

- National Bank for Agriculture and Rural Development (NABARD) was constituted in 1982 to regulate and supervise the functions of cooperative banks and RRBs.
- It is to streamline the flow of finance to agriculture and rural development sectors.



MULTI-PRONGED STRATEGY SINCE 1969 TOWARDS FINANCIAL INCLUSION



7

SERVICE AREA APPROACH

- ✓ To augment various mechanisms for rural lending, another method of “Service Area Approach” (SAA) was brought in 1988-89.
- ✓ Each semi-urban and rural branch had assigned a specific area comprising a cluster of villages within which it would operate, to have planned economic development in rural areas.
- ✓ By April 1, 1995, the scheme was launched all over the country.
- ✓ The following difficulties arose.
 - Irrational allocation of villages.
 - More number of villages in tribal and hilly areas.
 - Organizational problems.

Overall, it happened to be a failed experiment.

IN A NUTSHELL ... ERA OF BANKING SINCE 1969

1969 – 2000 ... MAIN FOCUS



All the above institutions / mechanisms were initiated to ensure timely credit to Agriculture, Small Scale Industries (SSIs), Rural Artisans, weaker sections etc.

POST 2000 ... MAIN FOCUS

- ✓ Financial Inclusion
- ✓ Business Correspondents
- ✓ Core Banking Solutions
- ✓ Micro ATMs / White Label ATMs

- ✓ Kisan Credit Cards
- ✓ No frill accounts / BSBDA / PMJDY
- ✓ Linking with Aadhaar/DBTs
- ✓ Digital Payments

FOCUSED APPROACH SINCE 1969 PAID HUGE DIVIDENDS!

SEE THE STATISTICS DURING 1969 – 1990!



Due to the above mentioned measures, the share of institutional sources in the outstanding debt of rural households increased from just 16.9% in 1962 to 64% in 1992.

- 1** The share of bank deposits to GDP rose from 13% in 1969 to 38% in 1991.
- 2** The gross savings rate rose from 12.8% in 1969 to 21.7% in 1990.
- 3** The share of advances to GDP rose from 10% in 1969 to 25% in 1991.
- 4** The gross investment rate to GDP rose from 13.9% in 1969 to 24.1% in 1990.

HOWEVER ... LIBERALISATION OF 1991 RESULTED IN DEVIATION FROM THE REDISTRIBUTIONIST GOALS!



- The Narasimham Committee of 1991 recommended that monetary policy should be divorced from redistributionist goals.
- As per the recommendations, banks should be free to practice commercial modes of operation, with profitability as the primary goal.
- Banks became Universal Banks and started lending to long-term projects and part of the recent NPA problem can be traced to the recommendations of 1990s.

LIBERALISATION SINCE 1991 WITH LOT MANY FREEDOMS IN THE OPERATION OF BANKS!



- 1 RBI allowed banks to open and close branches as they desired.
- 2 Priority sector guidelines were diluted. Banks were allowed to lend to the activities that were remotely connected with agriculture or to big corporates in agri-business, yet classify them as agricultural loans.
- 3 Interest rate regulations on priority sector advances were removed.

THE NEGATIVE OUTCOMES AFTER THE INITIAL DECADE OF LIBERALISATION WERE CLEARLY EVIDENT!



1 More than 900 rural bank branches were closed down across the country.

2 The rate of growth of agricultural credit fell sharply from around 7% per annum in the 1980s to about 2% per annum in 1990s.

3 Between 1991 and 2002, the share of institutional sources in the total outstanding debt of rural households fell from 64% to 57%.

4 The space vacated by institutional sources was promptly occupied by moneylenders and other non-institutional sources.



TO COME OUT OF NEGATIVE OUTCOMES, RBI DULY MADE AMENDS IN EARLY 2000s!



1 The Government and the RBI noticed the problem.

2 In 2004, a policy to double the flow of agricultural credit within 3-years was announced.

3 In 2005, the RBI brought a new branch authorisation policy. Permission for new branches began to be given, only if the RBI was satisfied that the banks concerned had a plan to adequately serve underbanked areas and ensure actual credit flow to agriculture.

4 In 2011, it was mandated that at least 25% of new branches were to be compulsorily located in unbanked centres.

PUBLIC SECTOR BANKS ARE IN THE FOREFRONT TOWARDS FINANCIAL INCLUSION!



1 After 2005, Public Sector Banks played a central role in furthering the financial inclusion agendas of successive governments.

2 Between 2010 and till now, the key responsibility of opening no-frill accounts/PMJDY for the unbanked poor fell upon Public Sector Banks.

3 During the global financial crisis of 2007-08, when most markets in the developed World dominated by private banks collapsed, the Indian Banking System was sturdy.

Hence, the importance of Public Sector Banks in financial inclusion and taking credit to the rural and unserved areas cannot be underestimated!

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Learning Space

For Suggestions:

suggestions@learningspace.in

To Contact us:

info@learningspace.in

For Information:

info.learningspacedigital@gmail.com

Visit us at:

www.learningspacedigital.com

98499 42299